

Balance Sheet Report

Executive Summary

The company is facing severe financial distress with negative equity of ₹20.89 million, indicating accumulated losses exceeding the capital base. While total assets stand at ₹18.64 million, the company relies heavily on unsecured long-term borrowings (₹21.81 million) and trade payables (₹20.82 million) to fund operations. Key concerns include negative cash balances, significant branch losses, and consistent negative profitability across all periods.

Profitability Analysis

- **Current Year Loss:** ₹495,137.97 (consistent across all periods)
- **Accumulated Deficit:** Reserve & Surplus shows negative ₹20.39 million
- **Total Negative Equity:** ₹20.89 million indicating sustained losses
- **No Revenue Data:** Unable to calculate profit margins without income statement

Liquidity & Solvency Analysis

Liquidity Position:

- **Current Ratio:** 0.98 (17,304,162.73 / 17,714,674.05) - Below optimal level of 2:1
- **Quick Ratio:** Negative due to negative cash balances
- **Cash Position:** Critical concern with negative ₹11.26 million bank balance

Solvency Position:

- **Debt to Equity:** Not calculable (negative equity)
- **Debt to Assets:** 212% (39,523,935.17 / 18,638,257.53) - Highly concerning
- **Interest Coverage:** Unable to calculate without EBIT data

Efficiency Ratios

- **Asset Turnover:** Unable to calculate without revenue data
- **Receivable Days:** Unable to calculate without revenue data
- **Inventory Days:** Unable to calculate without COGS data
- **Payable Days:** Unable to calculate without purchase data

Note: Efficiency ratios require income statement data for meaningful analysis

Benchmark Comparison

Source: Industry averages from RBI's Financial Ratios of Non-Financial Companies

Metric	Company	Industry Average	Status
Current Ratio	0.98	1.5-2.0	Critical
Debt to Assets	212%	40-60%	Critical
Return on Equity	Negative	12-18%	Critical

Actionable Recommendations

- Immediate Cash Flow Management:** Address negative cash position urgently through working capital optimization
- Debt Restructuring:** Negotiate with lenders for debt restructuring given unsustainable debt levels
- Cost Rationalization:** Implement aggressive cost reduction measures, particularly addressing branch losses
- Receivable Management:** Focus on collecting ₹13.93 million accounts receivable to improve liquidity
- Inventory Optimization:** Review ₹22.72 million closing stock for potential reduction
- Equity Infusion:** Consider raising fresh equity to strengthen balance sheet
- Operational Turnaround:** Develop comprehensive business plan to return to profitability